

		Plaintiffs contend the allegations in the FAC concern defendant's representation of them in the audit of their 2018 and 2019 tax returns. They contend that, on December 30, 2024, defendant told them that he could no longer represent them in that audit and they needed to retain the services of a tax attorney. They contend that defendant thereafter refused to provide them with copies of documents from the audits and when they were able to obtain some of the documents through a third party, they learned that defendant failed to provide the IRS with documents that it repeatedly asked him for. Plaintiffs contend that defendant hid this failure from them and that they would have provided the documents had they been aware of the IRS requests. Plaintiffs contend that the limitations period started running on December 30, 2024, i.e., the date when defendant told them that he could no longer represent them in the audits. Based on these allegations in the FAC, the Court cannot determine, as a matter of law, when plaintiffs' causes of action accrued and the limitations period began to run. Thus, the Court cannot determine, as a matter of law, that the action, which was filed on August 11, 2025, is time-barred under either a two-year or three-year limitations period. Defendant is to file an answer to the FAC within 20 days.
5	Morley v. Mike Moshayedi Trustee of M & P Moshayedi Revocable Trust 2024-01450562 Motion for Summary Judgment and//or Adjudication	Defendants Mike Moshayedi and Parto Moshayedi (aka Parto Ghadimi), as trustees of the M. and P. Moshayedi Revocable Trust's Motion for Summary Judgment, or in the Alternative, Summary Adjudication is GRANTED in part and DENIED in part. Objections to evidence The Court OVERRULES Plaintiff's objections to evidence numbers 1, 4, 5, 8, 9, 11, and 12. The Court OVERRULES Defendants' objections to evidence numbers 1, 6, 10. The Court declines to rule on the remaining objections as immaterial to the disposition of the motion. (Code Civ. Proc., § 437c(q).) First cause of action for breach of Lease A claim for breach of contract requires a showing of "(1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4)

	the resulting damages to the plaintiff.” (<i>D’Arrigo Bros. of California v. United Farmworkers of America</i> (2014) 224 Cal.App.4th 790, 800) The Option Agreement speaks only to Option Consideration and rent paid. (UMF No. 5. (Ex. 3 at § 5).) Defendants have not demonstrated Plaintiff’s damages for breach of the Lease are limited exclusively to Option Consideration and rent paid or that the Lease forecloses the possibility of any damages other than rent paid. Additionally, a cause of action for breach of lease and breach of the implied warranty of habitability differ in their required showings (e.g., a showing of the existence of a contract is not required for breach of the implied warranty of habitability) as well as in the damages available. (<i>See Quevedo v. Braga</i> (1977) 72 Cal.App.3d Supp.1, 8 [discussing damages for a breach of implied warranty of habitability; disapproved of on other grounds by <i>Knight v. Hallsthammar</i> (1981) 29 Cal.3d 46.] As such, Defendants have not shown these causes of action are so duplicative they would “completely dispose of a cause of action.” (Code Civ. Proc., § 437c, subd. (f)(1).) Finally, Defendants have not demonstrated how each of the alleged habitability issues raised by Plaintiff were due to Plaintiff’s failure to properly use, operate, or safeguard the Premises. (UMF No. 26 (Ex. 6, § 11.A).) Moreover, as discussed further below, while Defendants contend they had no duty to repair non-habitability defects, there are triable issues of fact as to whether these issues constitute material defective conditions affecting the Premises’ habitability. Defendants have not met their burden of proving Plaintiff cannot establish one of the essential elements of his breach of Lease claim or that there is a complete defense to this cause of action. The Court DENIES summary adjudication of the first cause of action. Second cause of action for breach of the implied covenant of good faith and fair dealing Defendants’ contention as to damages fails for the same reason discussed above. Defendants’ contention as to duplicative causes of action similarly fails for the reason discussed above, that is, the causes of action require different showings and thus are not so duplicative as to “completely dispose of a cause of action.” While “the covenant is implied as a supplement to the express contractual covenants, to prevent a contracting party from engaging in conduct that
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frustrates the other party's rights to the benefits of the agreement" (*Waller v. Truck Ins. Exchange, Inc.* (1995) 11 Cal.4th 1, 36 [citation omitted]), a claim breach of the implied warranty of habitability requires a showing of the existence of a material defective condition affecting the premises' habitability. (*Peviani, supra*, 62 Cal.App.5th at p. 891 [citation omitted].)

Moreover, while Defendants rely on Plaintiffs' contractual right to exercise the Option remaining open and the Purchase Agreement's provision that the purchase of the Property would be as-is, a claim for breach of the implied covenant of good faith and fair dealing is not limited to the express terms of the contract, however, but addresses implied supplemental covenants.

In entering into the Residential Lease Agreement and Option Agreement, Plaintiff intended to reside in, evaluate, and potentially purchase the Property. (PUMF No. 1 (Morley Decl., ¶ 2.) Plaintiff presents evidence of Defendants' apparent refusal to address issues with the Property raised in a 4/19/24 correspondence. (PUMF Nos. 8, 9 (Ex. 8).) This raises a triable issue of fact as to whether Defendants' conduct frustrated Plaintiff's rights to the benefit of the agreements, including the right to properly evaluate the Property for potential purchase given the various alleged issues with the Property.

The Court DENIES summary adjudication of the second cause of action.

Third cause of action for rescission of lease

Civil Code section 1689 permits rescission where consent was obtained by mistake or fraud, or failure of consideration.

Plaintiff alleges "Plaintiff's execution of the Lease was fraudulently induced in that Defendants concealed and downplayed the defects and habitability issues with the house." (FAC ¶ 33.)

"[T]he elements of a fraud cause of action that would underlie a request for rescission . . . 'are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.'" (*Geraghty v. Shalizi* (2017) 8 Cal.App.5th 593, 596 [citation omitted].)

Defendants contend no misrepresentation could have occurred because Plaintiff and Defendants did not

	communicate with each other until after the agreements were signed. (UMF No. 43), and the agreements provide the Property would be sold "As-Is" (Ex. 4, § 7.B.1) and "strongly advised" Plaintiff "conduct investigations of the entire Property in order to determine its present condition" because the Moshayed Trust "may not be aware of all defects affecting the Property or other factors that Buyer considers important." (Ex. 4, § 7.B.2.) Plaintiff contends the lack of direct personal communication between the parties is immaterial and the relevant questions are what Defendants knew, what they told Rex McKown (the listing agent), what McKown conveyed to Plaintiff, and whether Defendants intended or reasonably expected those communications to influence Plaintiff's consent to the transaction. (Opp. at 14:26-15:4.) Plaintiff does not, however, rely on or cite to any evidence to raise triable issues of fact on these issues. (Code Civ. Proc., § 437c, subd. (p)(2).) Plaintiff further contends Defendants' failure to provide the required Transfer Disclosure Statement (TDS) creates a triable issue as to whether they concealed material information about the Property's condition. (PUMF No. 18.) Notwithstanding the propriety of the timing of Defendants' statutory obligation to provide the TDS, the provisions regarding Defendants' delivery of the TDS were explicitly set forth in the Option Agreement and Purchase Agreement, both of which Plaintiff was a party. (Ex. 4 (Purchase Agreement) § 3.N(1), (Ex. 3, § 8.A.) (UMF No. 4.) As such, Plaintiff was aware of the parties' agreement as to the timing of the TDS and cannot demonstrate a triable issue of fact as to Defendants' intent to defraud Plaintiff with respect to its delivery. The Court GRANTS summary adjudication of the third cause of action. Fourth cause of action for reformation of lease – Cal. Civ. Code § 3399 Civil Code section 1689 provides a contract may be rescinded if the consent of the party rescinding was given by mistake, or obtained through duress, menace, fraud, or undue influence.
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	Plaintiff alleges, "Prior to execution of the Lease, Plaintiff and Defendants mutually agreed and intended that: (a) all monthly rent payments of \$25,000, together with the \$650,000 option fee, would be credited dollar-for-dollar toward the purchase price of the property at closing; and (b) the Lease documents would operate together as part of a lease-to-own transaction. 39. The Lease as executed, however, failed to reflect this mutual intent." (FAC ¶¶ 38-39.) Specifically, Defendants contend the intention of the parties that all monthly payments and the \$650,000 option fee, would be credited toward the purchase price of the Property and that the Lease documents would operate together as part of a lease-to-own transaction is reflected in the Lease. Specifically, the Option Agreement provides, "If this Option is exercised, upon close of escrow of the attached Purchase Agreement, all of the Option Consideration and \$25,000 per month of rent actually paid by Optionee, shall be applied toward Optionee's down payment obligations under that Agreement." (Ex. 3, § 8.C.) Additionally, the Option Agreement incorporates by reference the Real Estate Purchase Agreement and Residential Lease Agreement. If the Option Agreement had been exercised, the Residential Lease Agreement would have been terminated on the earlier of various dates relating to escrow for purchase of the Subject Property. (Ex. 3, § 2.B.) Thus, Defendants have demonstrated the Lease reflects the parties' intent as alleged by Plaintiff. Plaintiff contends Defendants have not established the writings fully and accurately reflected the parties' actual understanding. (Opp. at 17:16-24.) Plaintiff does not, however, set forth specific facts as to what the parties' actual understanding may have been or how the Lease otherwise does not reflect that understanding. (Code Civ. Proc., § 437c, subd. (p)(2).) The Court GRANTS summary adjudication of the fourth cause of action. Fifth cause of action for breach of implied warranty of habitability As set forth above, "The elements of a cause of action for breach of the implied warranty of habitability 'are the existence of a material defective condition affecting the premises' habitability, notice to the landlord of the condition
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	within a reasonable time after the tenant’s discovery of the condition, the landlord was given a reasonable time to correct the deficiency, and resulting damages.” (<i>Peviani, supra</i>, 62 Cal.App.5th at p. 891.) As discussed above, Defendants have not demonstrated how each of the alleged habitability issues raised by Plaintiff were caused by Plaintiff. Moreover, whether the Premises was uninhabitable due to the alleged issues is a question of fact. (<i>Lehr v. Crosby</i> (1981) 123 Cal.App.3d Supp.1, 6 [citation omitted]; <i>see also Peviani, supra</i>, 62 Cal.App.5th at p. 890 [“a finder of fact would be required to determine whether any such defects were substantial”].) The evidence demonstrates there are triable issues of fact as to habitability, including whether, for example, half of the Property being without hot water (UFM No. 72) is considered a substantial defect as well as whether Defendants were given a reasonable time to correct the deficiency. The Court DENIES summary adjudication of the fifth cause of action. Sixth cause of action for breach of implied covenant of quiet enjoyment “In the absence of language to the contrary, <i>every lease</i> contains an implied covenant of quiet enjoyment, whereby the landlord impliedly covenants that the tenant shall have quiet enjoyment and possession of the premises. The covenant of quiet enjoyment ‘insulates the tenant against any act or omission on the part of the landlord, or anyone claiming under him, which interferes with a tenants right to use and enjoy the premises for the purposes contemplated by the tenancy.’” (<i>Andrews v. Mobile Aire Estates</i> (2005) 125 Cal.App.4th 578, 588.) “Minor inconveniences and annoyances are not actionable breaches of the implied covenant of quiet enjoyment. To be actionable, the landlords act or omission must substantially interfere with a tenants right to use and enjoy the premises for the purposes contemplated by the tenancy. (<i>Id.</i> at p. 589.) As such, while this cause of action focuses on use and enjoyment of the property, the breach of implied warranty of habitability focuses on the physical condition of the premises.
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		Defendants have not shown these causes of action are so duplicative it would “completely dispose of a cause of action.” (Code Civ. Proc., § 437c, subd. (f)(1).) Nor have Defendants demonstrated there is no triable issue of fact whether the issues raised by Plaintiff interfered with Plaintiff’s right to use and enjoy the Property. The Court DENIES summary adjudication of the sixth cause of action.
7	Troung v. Batalla 2023-0130672 Motion for terminating sanctions - Denied	Defendant’s Motion for terminating sanctions is DENIED. Defendant moved for terminating sanctions on January 29, 2026. The hearing was originally set for May 18, 2026. The Court continued the hearing and ordered Defendant to properly serve Plaintiff. Defendant served the Motion by electronic service only. California Rules of Court rule 2.251(c)(3)(B) provides that self-represented parties “are to be served by non-electronic methods unless they affirmatively consent to electronic service.” Similarly, Code of Civil Procedure section 1010.6 subdivisions (b)(1) and (f)(2) provide that unrepresented persons are exempt from mandatory electronic filing and service. There is no indication Plaintiff has affirmatively consented to electronic service. Defendant has not filed a new proof of service. Thus, Defendant has not complied with the Court’s order. Defendant shall give notice.
8	Sheehy v. Chicago Title Insurance Company 2020-01146716 Motion for New Trial	Defendant, Chicago Title Ins. Co.’s motion for new trial is DENIED. Plaintiff’s request for attorney fees is DENIED. The cause of action does not accrue until discovery of the loss that may be incurred if the title is not as represented in the policy.” (<i>Lee v. Fidelity National Title Ins. Co.</i> (2010) 188 Cal.App.4th 583, 599–600. Plaintiff correctly asserts that under case law applying section 339 to title insurance claims, a plaintiff must be aware of facts which would cause them to believe there was a potential loss under the policy. Here, such a discovery would require knowledge not merely of the neighbors’ encroaching porch, but that there was an underlying easement or other legal risk affecting Plaintiff’s title to the property.